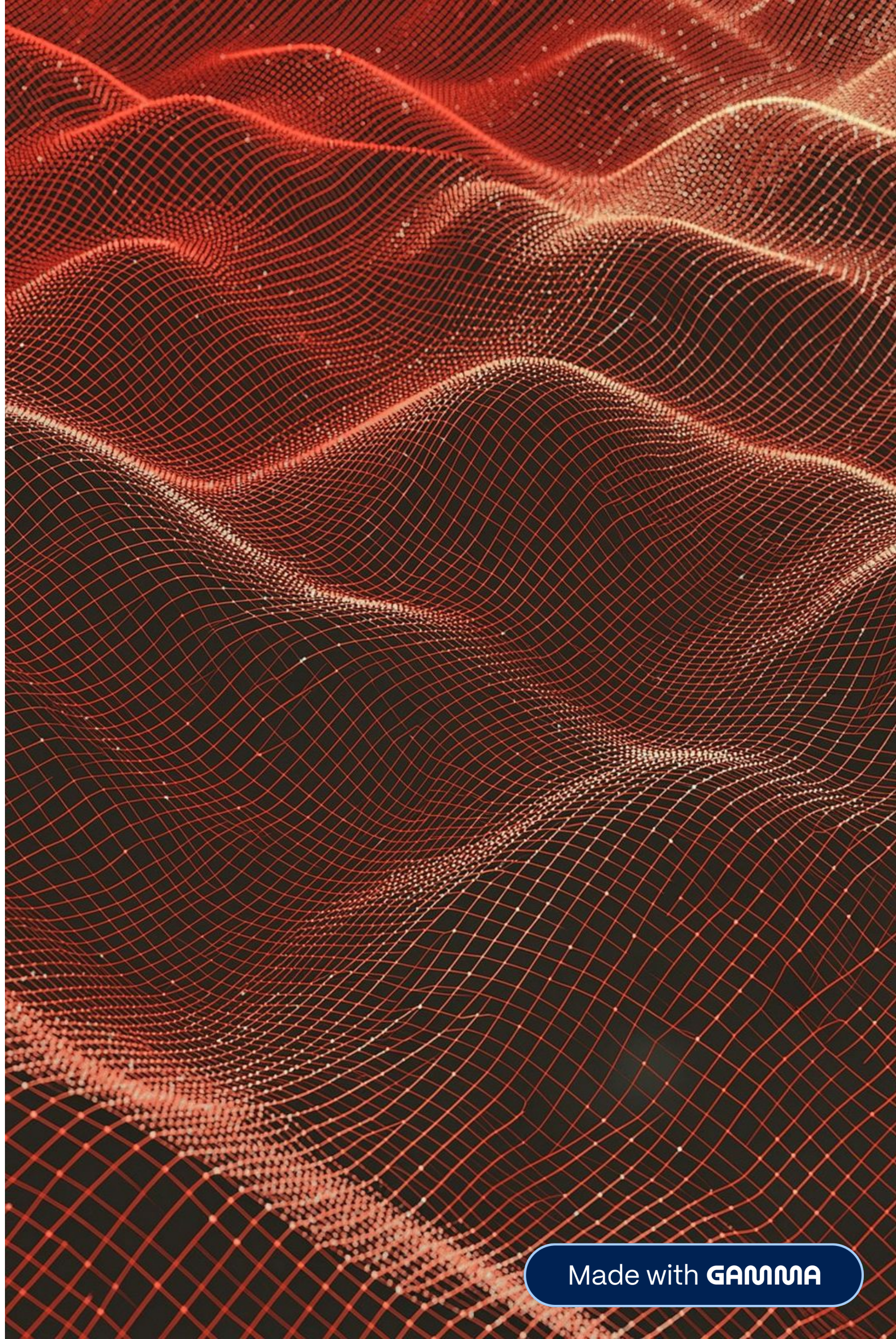
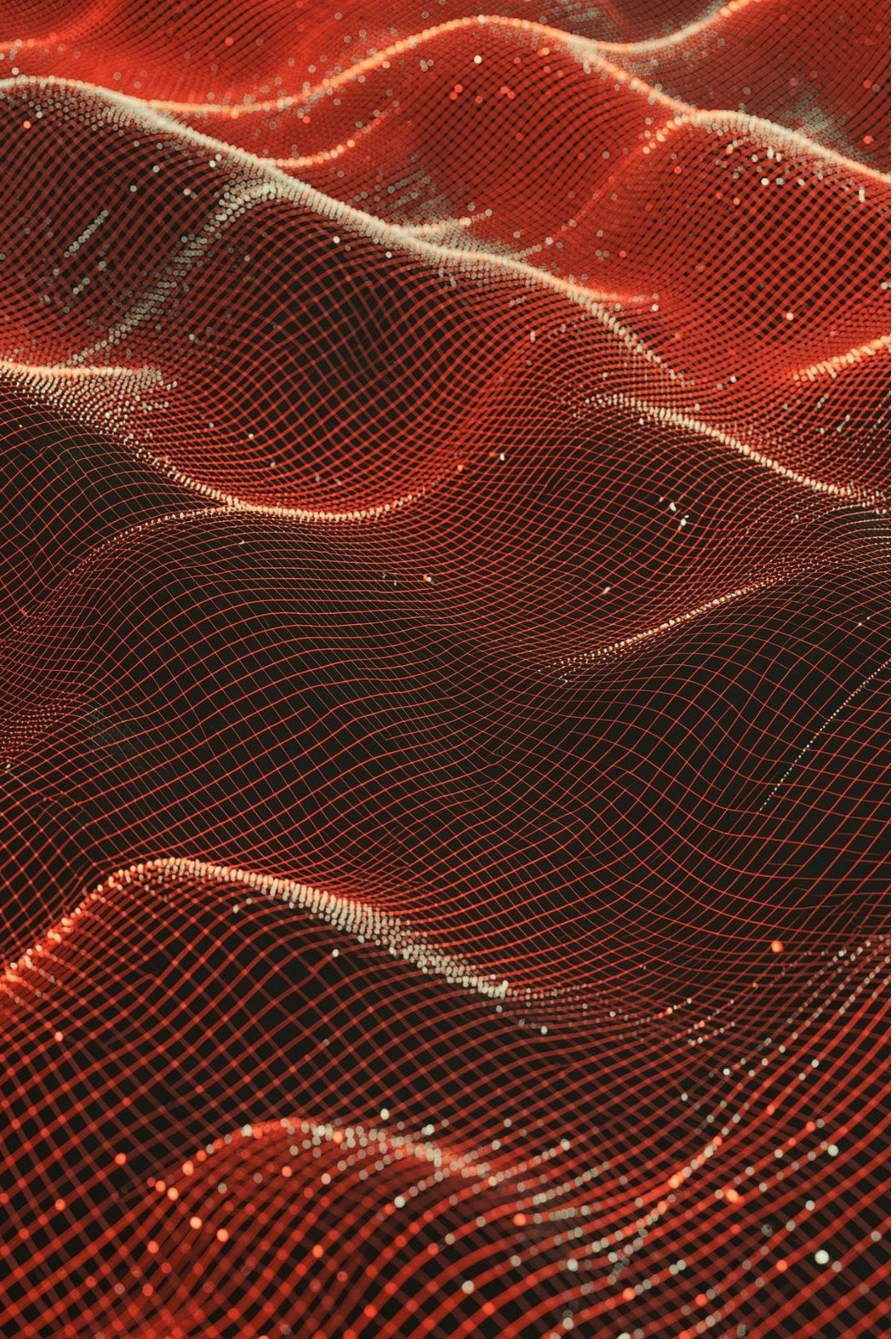
AI Is Making Money. But Is It Growing?

What 1,000 startups reveal about the real AI investment opportunity





The Investor's Question

1. AI hype is everywhere. But hype is not the same as a business.
2. The real question: Does AI actually create better businesses?
3. We'll test three things: Revenue, Recurring Customers, Growth

The Dataset

1,000

Total Startups

Tracked on TrustMRR, frozen 30 July 2026

414

AI-Related

Classified by company description & category tags

586

Non-AI

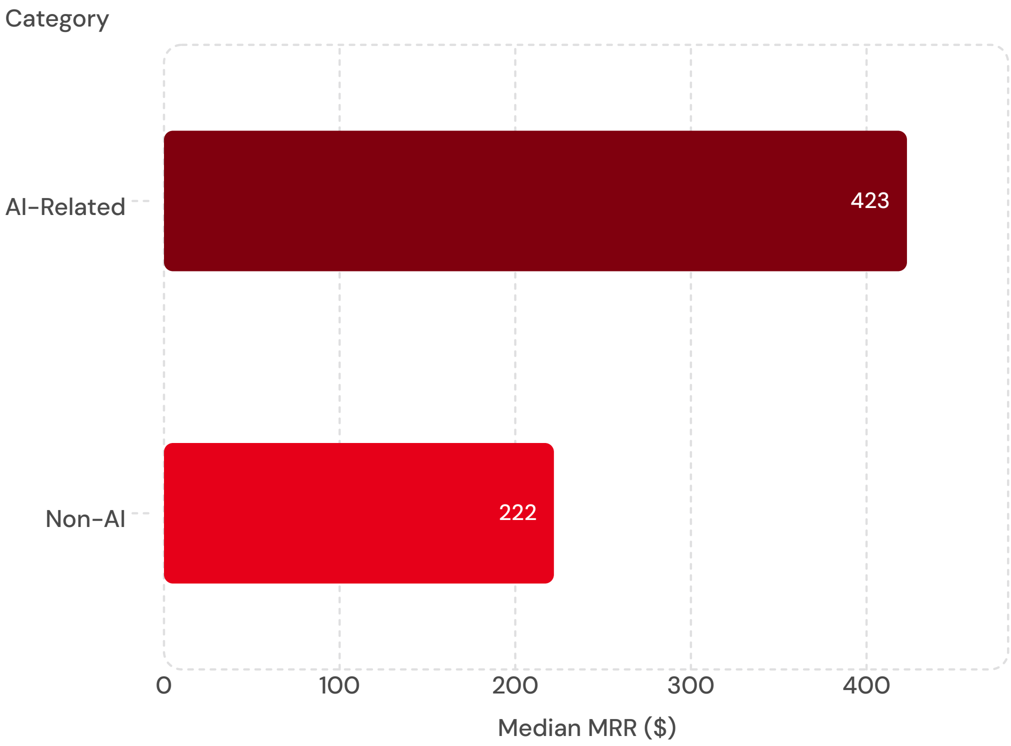
Baseline comparison group

3

Key Metrics

MRR, MRR Growth Rate, Active Subscriptions

The AI Premium Is Real



AI businesses generate ~1.9× higher median recurring revenue than non-AI peers

Median MRR for AI-related startups sits at **$423** versus just **$222** for non-AI — a gap that is hard to ignore.

Active subscriptions reinforce the story: AI startups carry a median of **19 active subscribers** compared to **13** for non-AI, signaling deeper customer engagement, not just higher price tags.

The monetization advantage is structural, not accidental.

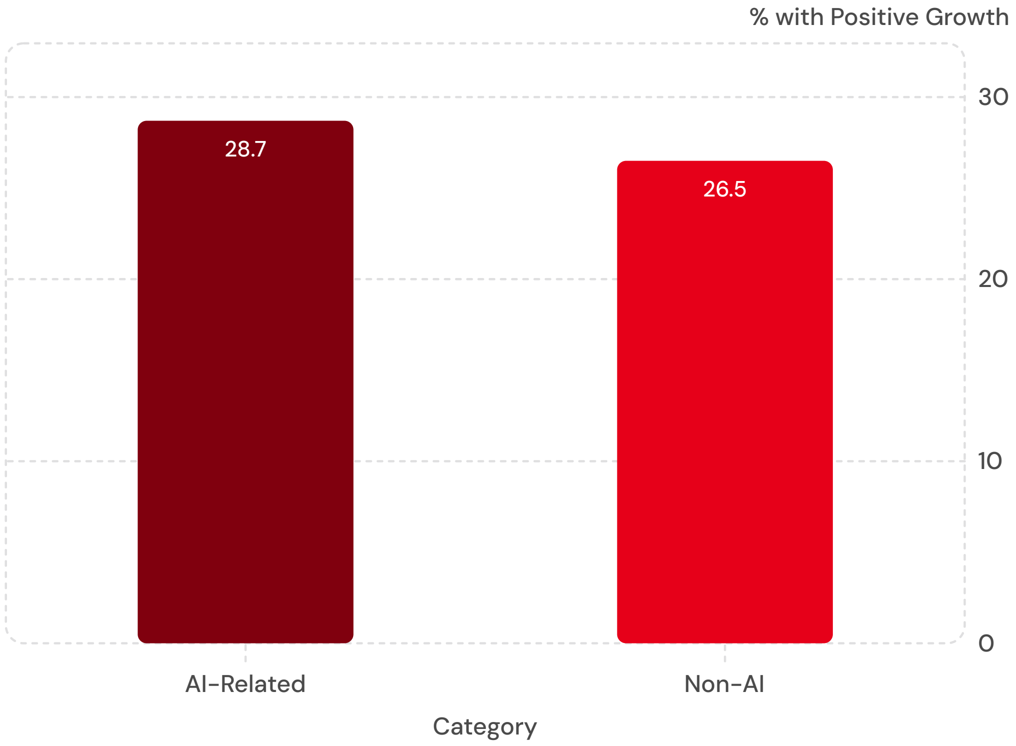
But Here's the Catch

The Plot Twist

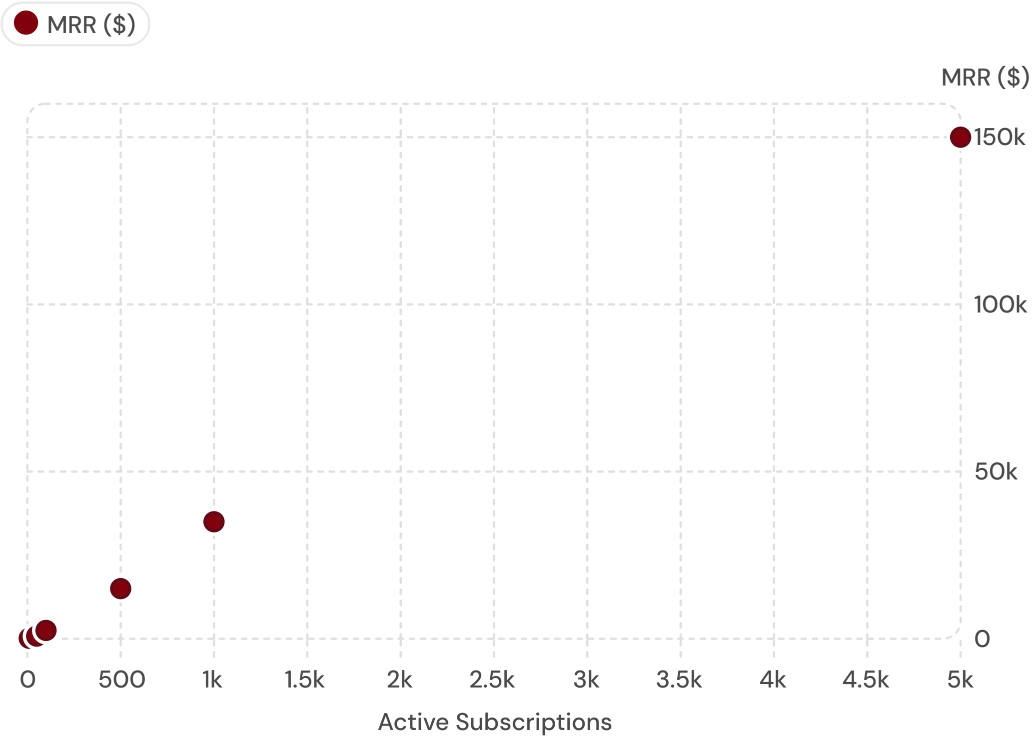
AI monetizes dramatically better — but its growth rate advantage is almost invisible.

A **2.2 percentage point** gap in positive growth rates is statistically modest compared to the near-doubling of median MRR. AI companies are charging more, but they are not acquiring customers at a meaningfully faster pace.

This reframes the investment question entirely: it's not *"Should I invest in AI?"* — it's *"Which AI businesses have durable recurring revenue?"*



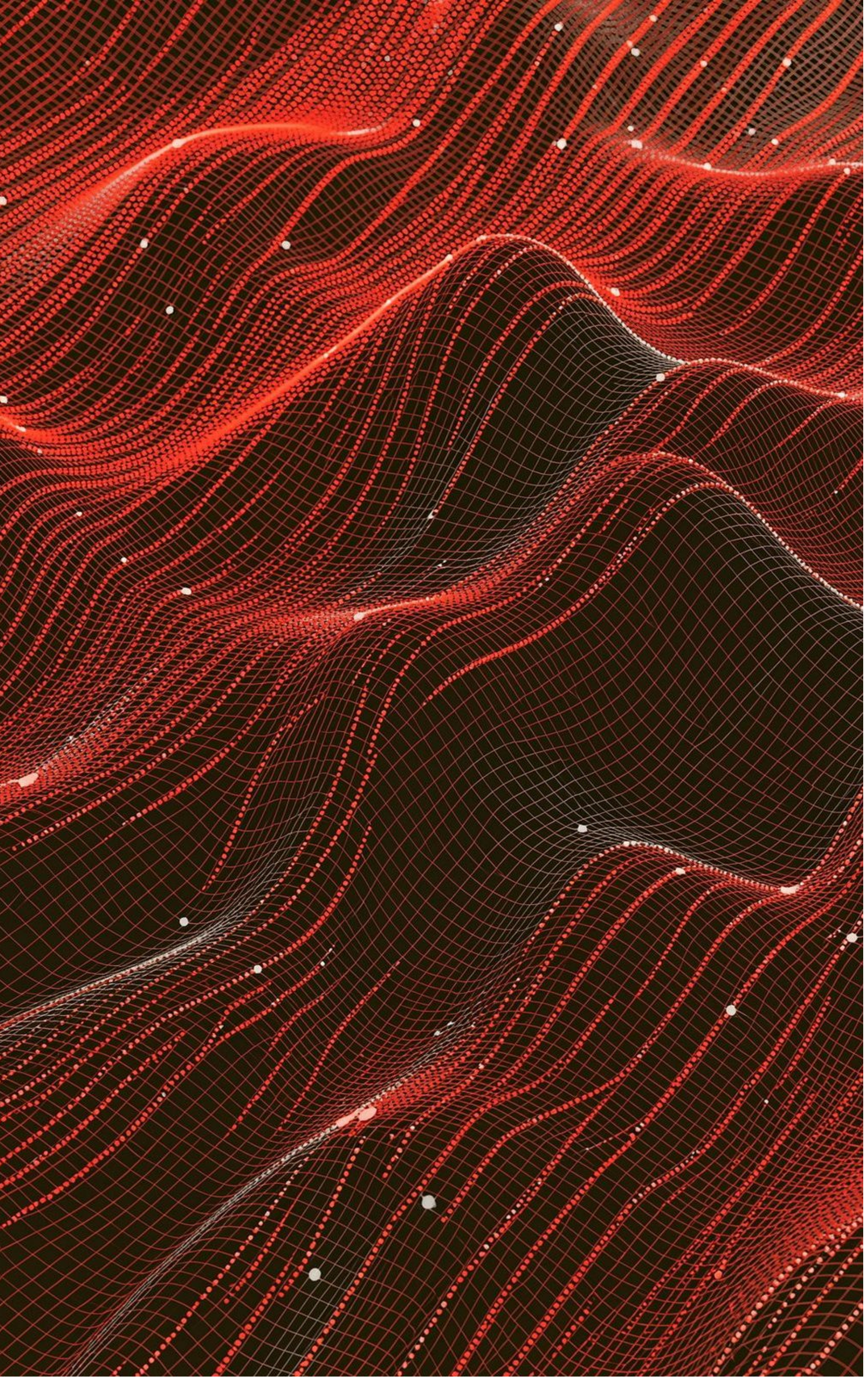
Revenue Follows Customers, Not Labels



Customer depth is the true revenue driver

The scatter plot tells a clear story: as active subscriptions grow, MRR compounds. The "AI" label alone does not predict revenue — the **number of recurring customers** does.

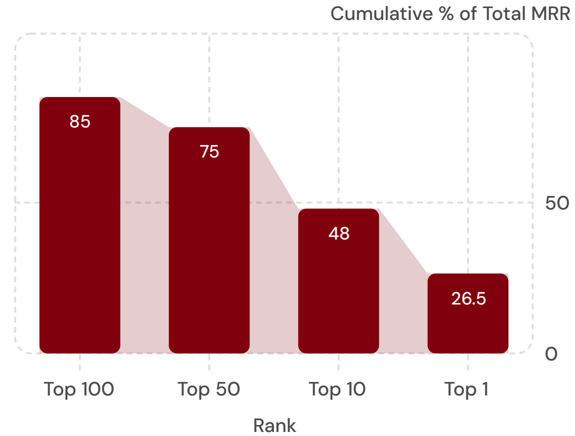
- **Recurring customers** = durable revenue signal
- **Customer depth** matters more than the AI label
- **Subscription count** is the leading indicator investors should track



The Market Is a Barbell

31.18%

Total conversion rate



Winner-take-most dynamics define this market

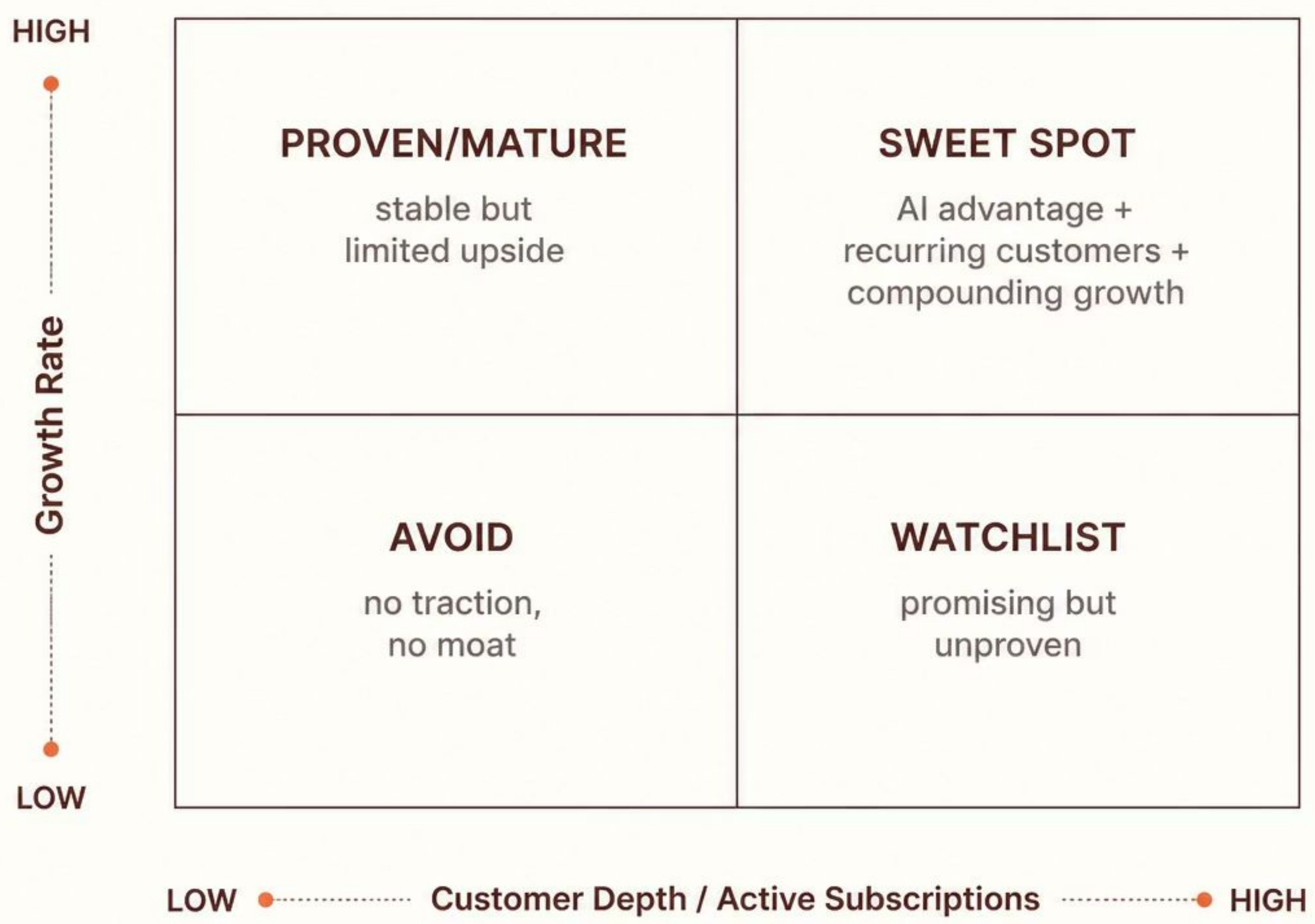
The top single startup captures **26.5%** of all recurring revenue. The top 10 control **48%**. The top 100 account for **85%**.

This is not a diversified market — it is a barbell. Broad exposure to "AI startups" is not a strategy. **Selection matters more than exposure.**

> ⚠ Picking the wrong end of the barbell is expensive.

The Investment Sweet Spot

Don't invest in **"AI."** Invest in the combination.



The Thesis: Turn AI Demand Into Recurring Revenue

AI creates willingness to pay

Higher monetization is proven — $423 vs $222 median MRR. The premium is structural.

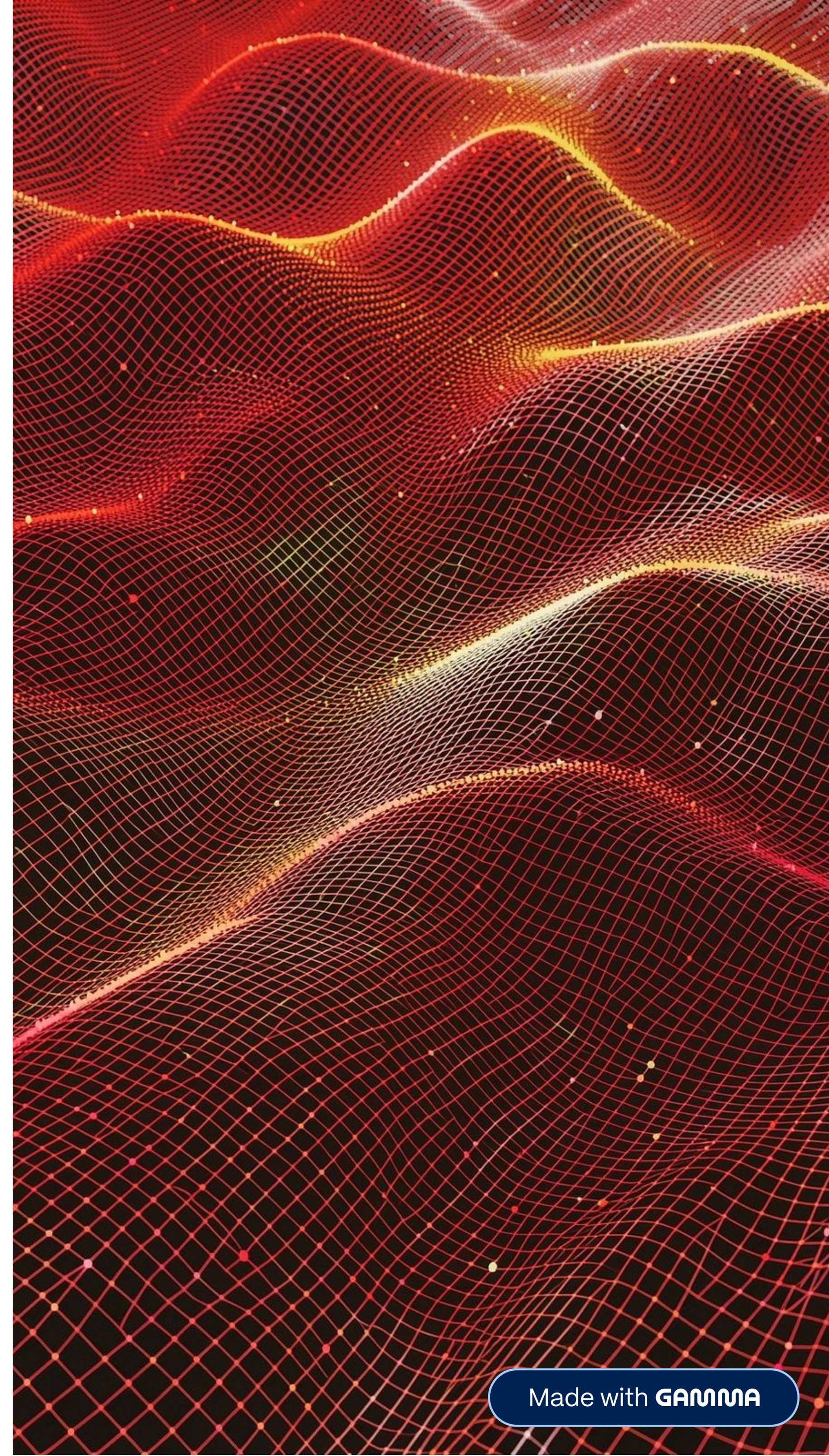
Customers keep paying

Recurring subscriptions are the moat. Customer depth predicts revenue durability.

Revenue compounds

Positive growth separates winners from the rest in a winner-take-most market.

The next AI winner may not be the fastest-growing AI company. It may be the one that turns AI demand into recurring customers.



Data > Hype

AI Advantage × Customer Depth × Growth = Investable Business

1.9×

MRR premium for AI startups

2.2pp

Growth gap — smaller than you think

48%

MRR held by just 10 startups

1 Signal

Recurring customers predict everything